

August 20, 2026 04:55 AM GMT

Communications Infrastructure | North America

Data Centers Debated - Reiterate EQIX Top Pick

We discuss recent data center debates in the market, including impact of moratoriums, open vs. closed-weight models, AI sovereignty and interconnection networks. We remain constructive on colocated data centers, continue to see interconnection scale as a key moat and raise EQIX bull case estimates.

AlphaWise 

Key Takeaways

- Data center debates are growing louder, as open-weight models, data sovereignty and moratoriums draw focus. We see colocation data centers well positioned.
- Open-weight adoption should tilt incremental AI demand towards EQIX, as enterprises look for greater control over inference deployments.
- Interconnection is an underappreciated pricing lever - we expect virtual connections to grow alongside further data traffic, and prefer EQIX's scaled network.
- Requirements to fund grid infrastructure may pressure development yields, while moratoriums strengthen pricing power for incumbent operators.
- Push for sovereign AI should drive demand for localized infrastructure with emphasis on data residency and regional compute, benefiting colocation operators.

We revisit several debates shaping the data center industry including open- versus closed-weight models, interconnection monetization, development restrictions and sovereign AI. We walk away with greater conviction that **colocation data centers remain well positioned across a range of outcomes**. We continue to prefer EQIX (OW, \$1,250 PT) given its diversified enterprise customer base, global footprint and the industry's largest interconnection web.

Open-weight model adoption should make enterprise AI architecture more distributed and complex, increasing the number of connections between private infrastructure, clouds, model providers and neoclouds. This environment plays directly to Equinix's strengths in retail colocation enabling private, low-latency connections. A closed-weight outcome would skew incremental demand more toward hyperscale-oriented operators such as DLR or BXDC, though EQIX would continue to participate through xScale and cloud on-ramps.

We increasingly view **interconnection as an underappreciated source of both competitive differentiation and earnings upside**. AI agents are driving rapid growth in machine generated traffic and we expect virtual interconnections to take a larger

MORGAN STANLEY & CO. LLC		
Cameron McVeigh, CFA		
Equity Analyst		
Cameron.McVeigh@morganstanley.com		+1 212 761-4209
Garo K Amerkarian		
Research Associate		
Garo.K.Amerkarian@morganstanley.com		+1 212 761-1207
Stephen C Byrd		
Equity Analyst		
Stephen.Byrd@morganstanley.com		+1 212 761-3865
Sabrina E Hao		
Equity Analyst		
Sabrina.Hao@morganstanley.com		+1 212 761-3315
Michelle M. Weaver, CFA		
Equity Strategist		
Michelle.M.Weaver@morganstanley.com		+1 212 296-5254
Ariana Salvatore		
Equity Strategist		
Ariana.Salvatore@morganstanley.com		
Sean Diffley, CFA		
Equity Analyst		
Sean.DIFFLEY@morganstanley.com		+1 212 761-5868

COMMUNICATIONS INFRASTRUCTURE		
North America		
Industry View		In-Line

Morgan Stanley does and seeks to do business with companies covered in Morgan Stanley Research. As a result, investors should be aware that the firm may have a conflict of interest that could affect the objectivity of Morgan Stanley Research. Investors should consider Morgan Stanley Research as only a single factor in making their investment decision.

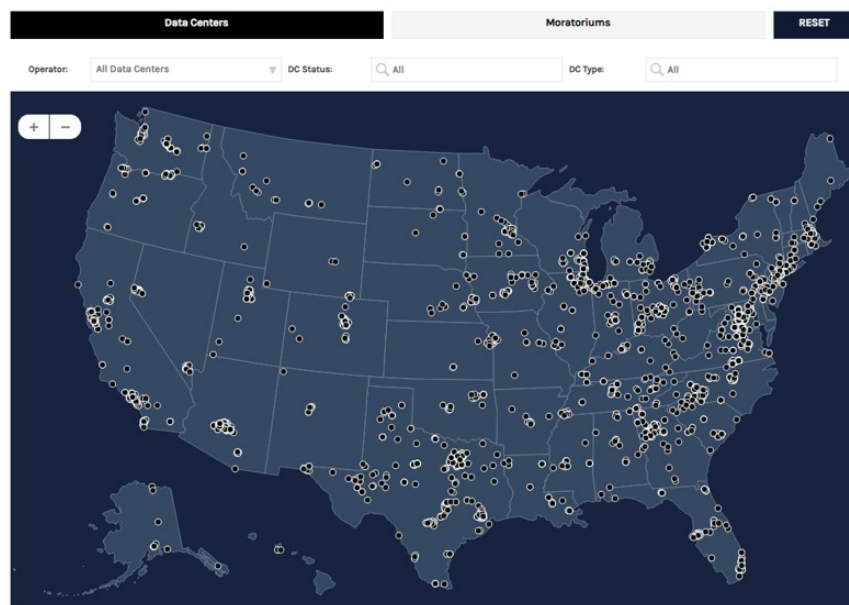
For analyst certification and other important disclosures, refer to the Disclosure Section, located at the end of this report.

share of the mix. We see an opportunity for Equinix to evolve pricing beyond recurring fees for cross-connections toward greater monetization of actual data movement. Given the scale of the existing ecosystem, even modest improvement in MRR per interconnection could produce high margin upside and flow through to AFFO ([Exhibit 2](#)). The positive interconnection flywheel further utilizes network effects to increase both customer stickiness and the moat. We see incremental upside from potential new interconnection pricing mechanics, and raise our EQIX bull case estimates ([Exhibit 7](#)).

The growing political scrutiny of data center development introduces risk, but the implications are not all negative for incumbents. **Requirements that developers fund more grid infrastructure could pressure development yields, while moratoriums and permitting delays could constrain new supply and strengthen pricing power for operators with existing powered capacity.** Sovereign AI creates a similar balance: regulatory and compliance requirements may become more complex, but greater emphasis on data residency, localized compute and control over network routing should drive more duplicated, jurisdiction-specific infrastructure. We see Equinix as particularly well positioned as sovereignty broadens from where data is stored to where it is processed and which infrastructure it can access (see [here](#) for further thoughts on AI sovereignty).

We track current opposition efforts via moratoriums below overlaid with the footprint of the three colocation data centers, along with all other data centers based on 451 Research data:

Exhibit 1 **Tracking Data Center Moratoriums**



Source: AlphaWise Web Intelligence, Morgan Stanley Research, 451 Research, Interconnected Capital.

Interconnection a Key Value Unlock

We increasingly see scale in interconnection as an underappreciated driver of value and enabler of the growth flywheel among colocated data centers. The interconnection offering connects tenants directly within and between data centers, either through fiber or increasingly virtually via a software platform (Equinix Fabric, Digital Realty ServiceFabric). A larger interconnection web creates positive network effects and increases the stickiness of each tenant. Accordingly, **the value of the interconnection offering grows as an operator gains scale**. Equinix is the largest interconnection provider with 522,700 interconnections vs. DLR 235,500 and CSQR with 36,000. In addition, we continue to see demand for AI inference workloads inflecting higher, and expect interconnection scale to play a key role in enabling this growth, as further discussed [here](#).

Today, interconnection is generally monetized based on the number of connections or provisioned capacity:

Physical cross connects: priced primarily per physical connection - tenant pays a monthly recurring charge for the cross-connect.

Fabric / virtual interconnections: priced primarily on provisioned capacity, not actual data traffic - tenant selects a port size (e.g., 1/10/100 Gbps) and virtual connection bandwidth, and those choices determine the recurring charge.

True usage / traffic based pricing: this would mean charging based on the actual amount of data moved (e.g., \$/GB) or the measured traffic rate/throughput (e.g., Mbps/Gbps). Equinix offers both pricing tiers within [Internet Access](#) through usage-based and burst billing. Traffic based usage is likely easiest to monetize in the virtual interconnection offering.

In our bull case, we assume Equinix's interconnection pricing mechanic evolves to capture actual volume of data traffic. We raise our bull case '27 interconnection revenue growth estimates to 16.6% and 16.5% in '28 vs. 14.5% and 16.3% previously. Our sensitivity analysis ([Exhibit 2](#)) shows the AFFO/sh uplift given every 25bps increase in interconnection revenue growth. We continue to prefer EQIX as the scaled retail colocation operator with the largest interconnection network. Put simply, the interconnection thesis is for the network effect to continue, and we see tailwinds to each component of interconnection revenue:

Interconnection revenue = billable cabinets × interconnections/cabinet × MRR/interconnection

In the base case, we expect Equinix to expand the number of billable cabinets by ~22,000 in '27 and ~30,000 in '28, raise the volume of interconnections per billable cabinet by 1.6% and 2.1%, and also grow MRR / interconnection by 3.8% and 3.9%. The bull case is that Equinix is able to successfully pull the pricing lever on data movement (with the volume of data generated growing at a ~25% CAGR ([Exhibit 6](#))) as opposed to recurring fees per connection, and increase MRR/interconnection.

Exhibit 2: A 100 bps uplift to interconnection pricing growth drives ~1.6% upside to current AFFO/sh estimates by 2030

Upside to Consolidated AFFO/sh										
IX Pricing Growth Uplift		2027E	2028E	2029E	2030E	2031E	2032E	2033E	2034E	2035E
	0 bps	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%
	25 bps	0.1%	0.2%	0.3%	0.4%	0.5%	0.6%	0.7%	0.8%	0.9%
	50 bps	0.2%	0.4%	0.6%	0.8%	1.0%	1.2%	1.4%	1.6%	1.8%
	75 bps	0.3%	0.6%	0.9%	1.2%	1.5%	1.8%	2.1%	2.4%	2.7%
	100 bps	0.4%	0.8%	1.2%	1.6%	2.0%	2.4%	2.8%	3.3%	3.7%
	125 bps	0.5%	0.9%	1.5%	2.0%	2.5%	3.0%	3.6%	4.1%	4.7%
	150 bps	0.5%	1.1%	1.8%	2.4%	3.0%	3.6%	4.3%	5.0%	5.6%
	175 bps	0.6%	1.3%	2.0%	2.8%	3.5%	4.3%	5.0%	5.8%	6.6%

Source: Company data, Morgan Stanley Research

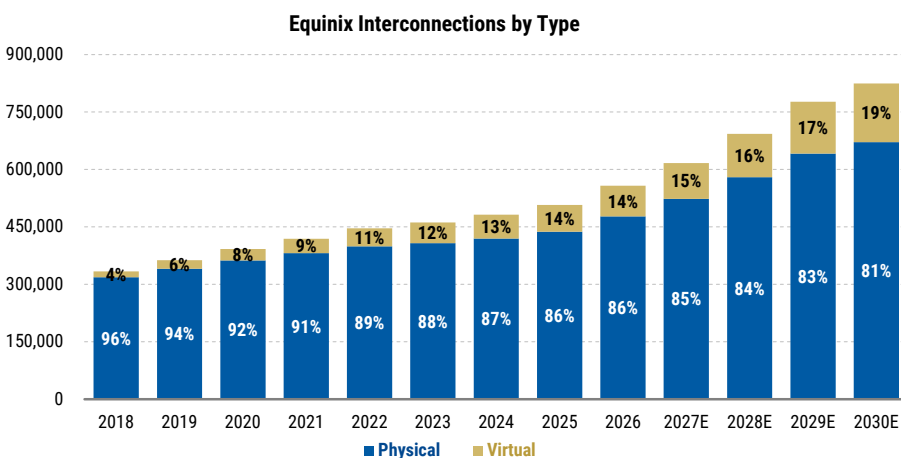
Note: Assumes 90% incremental margins on interconnection revenue. IX pricing refers to MRR / interconnect (calculated as interconnection revenue / average interconnection count). Sensitivity based on changes in y/y growth rate of MRR / interconnect and assumes base case interconnection volume.

We have greater conviction in this opportunity after listening to Matthew Prince, the CEO of Cloudflare, this earnings quarter. Describing the growth in online data traffic in the context of AI agents, he said **non-human traffic will be as much as 1,000x human traffic**. If Equinix is able to adjust interconnection pricing to capture value from traffic volume, we see upside to consensus interconnection revenue estimates. Full quote from Matthew Prince here:

"So I was quite surprised when in May of this year, our team came to me and said, you won't believe it, but non-human traffic has now passed human traffic online. And to give you a sense of how this trend is playing out and with the big caveat that I have called it wrong at every point along the way, if the current trends continue, we think in five years, non-human traffic will be as much as 1,000x as much as human traffic. In other words, humans will be a rounding error on the Internet, not because human traffic goes down, but that's just how fast we're seeing non-human traffic grow."

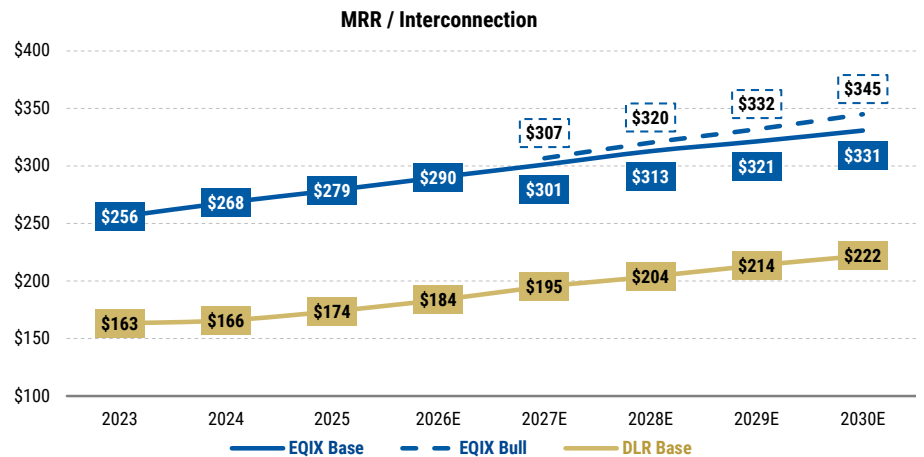
We expect virtual interconnections to gain share of total interconnections at Equinix over time ([Exhibit 3](#)), bringing upside optionality to interconnection revenue if Equinix can evolve the pricing strategy.

Exhibit 3: We expect Equinix virtual interconnections to represent a growing share of total interconnections through 2030



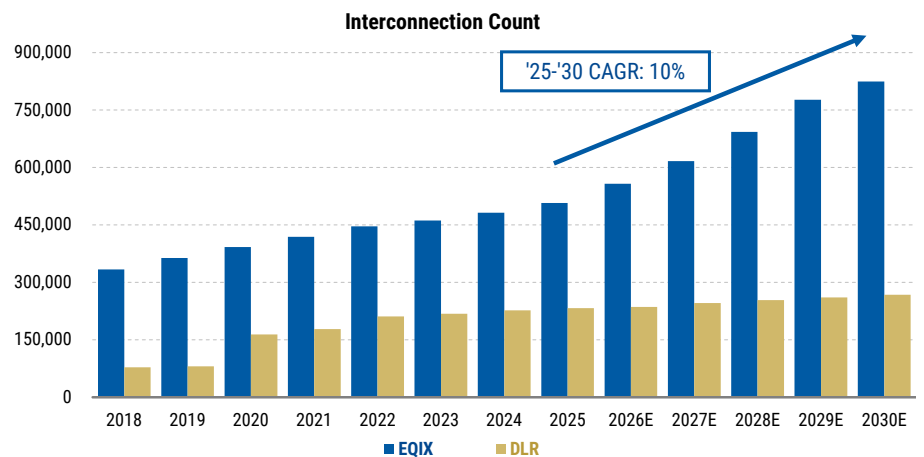
Source: Company data, Morgan Stanley Research

Exhibit 4: Equinix is the global price leader in the interconnection market. We expect pricing growth at both Equinix and Digital Realty as interconnection networks continue to scale



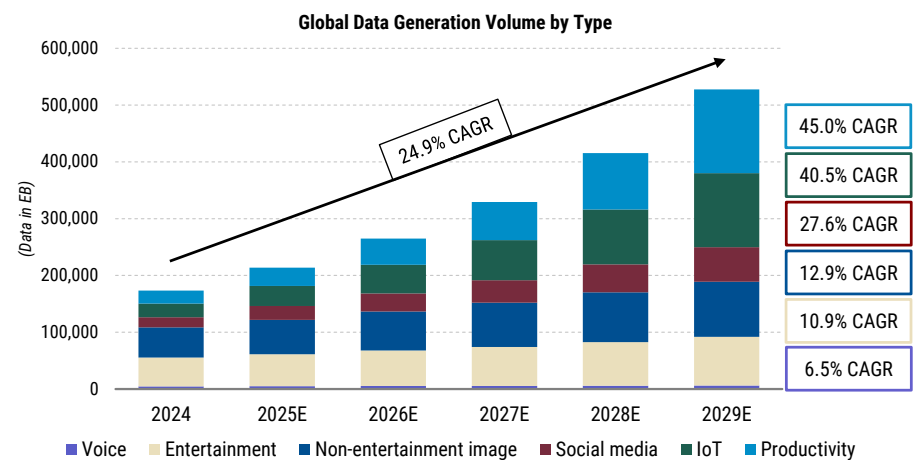
Source: Company data, Morgan Stanley Research

Exhibit 5: Equinix currently has >2x the interconnection volume of Digital Realty, and we expect this gap to widen



Source: Company data, Morgan Stanley Research

Exhibit 6: IDC estimates global data generation to grow ~25% through 2029



Source: IDC, Morgan Stanley Research

Exhibit 7: Equinix bull case prior vs. current estimates

Fiscal Year ending Dec. 31	Prior				Current				Variance			
	2026E	2027E	2028E	2029E	2026E	2027E	2028E	2029E	2026E	2027E	2028E	2029E
Prior vs. Current												
Colocation	7,220.8	8,455.3	9,688.7	11,112.5	7,227.7	8,459.5	9,691.9	11,128.6	+0.1%	+0.0%	+0.0%	+0.1%
YoY Growth %	11.5%	17.1%	14.6%	14.7%	11.6%	17.0%	14.6%	14.8%	+11 bps	(5 bps)	(2 bps)	+13 bps
Interconnection	1,848.0	2,115.4	2,460.3	2,840.8	1,854.0	2,160.8	2,517.0	2,928.5	+0.3%	+2.1%	+2.3%	+3.1%
YoY Growth %	11.7%	14.5%	16.3%	15.3%	12.0%	16.6%	16.3%	16.3%	+36 bps	+208 bps	+18 bps	+68 bps
Managed infrastructure	464.6	498.8	538.4	571.2	464.6	498.8	538.4	571.2	+0.0%	+0.0%	+0.0%	+0.0%
YoY Growth %	(0.3%)	7.4%	7.9%	6.1%	(0.3%)	7.4%	7.9%	6.1%	+0 bps	+0 bps	+0 bps	+0 bps
Other	157.0	157.0	160.9	162.8	157.0	157.0	160.9	162.8	+0.0%	+0.0%	+0.0%	+0.0%
YoY Growth %	9.8%	(0.0%)	2.5%	1.2%	9.8%	(0.0%)	2.5%	1.2%	+0 bps	+0 bps	+0 bps	+0 bps
Recurring Revenue	9,680.4	11,226.5	12,848.2	14,687.3	9,703.4	11,276.1	12,908.2	14,791.0	+0.1%	+0.4%	+0.5%	+0.7%
YoY Growth %	10.9%	16.9%	14.4%	14.3%	11.0%	16.2%	14.5%	14.6%	+15 bps	+36 bps	+3 bps	+27 bps
Non Recurring Revenue	628.6	573.3	630.8	674.6	628.6	573.3	630.8	674.6	+0.0%	+0.0%	+0.0%	+0.0%
Total Revenue	10,319.1	11,799.9	13,479.1	15,361.9	10,332.0	11,849.5	13,539.0	15,465.6	+0.1%	+0.4%	+0.4%	+0.7%
% YoY Growth	12.0%	14.4%	14.2%	14.0%	12.1%	14.7%	14.3%	14.2%	+14 bps	+34 bps	+3 bps	+26 bps
Gross Profit	7,123.2	8,171.4	9,368.0	10,714.9	7,132.0	8,205.8	9,409.6	10,787.3	+0.1%	+0.4%	+0.4%	+0.7%
% Gross Margin	69.0%	69.3%	69.5%	69.8%	69.0%	69.3%	69.5%	69.8%	(0 bps)	+0 bps	+0 bps	+0 bps
Sales and marketing	645.7	675.1	741.3	821.9	646.5	678.0	744.6	827.4	+0.1%	+0.4%	+0.4%	+0.7%
% of Sales	6.3%	5.7%	5.5%	5.4%	6.3%	5.7%	5.5%	5.4%	(0 bps)	+0 bps	+0 bps	+0 bps
General and administrative	1,139.6	1,294.6	1,431.6	1,559.2	1,141.1	1,300.1	1,437.9	1,569.8	+0.1%	+0.4%	+0.4%	+0.7%
% of Sales	11.0%	11.0%	10.6%	10.2%	11.0%	11.0%	10.6%	10.2%	+0 bps	+0 bps	(0 bps)	+0 bps
Adj. EBITDA (As reported)	5,337.9	6,201.7	7,195.0	8,333.8	5,344.5	6,227.7	7,227.0	8,390.1	+0.1%	+0.4%	+0.4%	+0.7%
% of Sales	51.7%	52.6%	53.4%	54.3%	51.7%	52.6%	53.4%	54.3%	(0 bps)	(0 bps)	+0 bps	+0 bps
YoY Growth %	17.8%	16.2%	16.0%	15.8%	18.0%	16.5%	16.0%	16.1%	+15 bps	+34 bps	+3 bps	+27 bps
Net Income	1,816.8	2,038.4	2,339.1	2,611.5	1,819.7	2,050.9	2,354.0	2,637.5	+0.2%	+0.6%	+0.6%	+1.0%
% of Sales	17.6%	17.3%	17.4%	17.0%	17.6%	17.3%	17.4%	17.1%	+0 bps	+2 bps	+3 bps	+5 bps
Adj. Diluted EPS	18.53	20.28	22.95	25.28	18.56	20.39	23.10	25.54	+0.2%	+0.6%	+0.6%	+1.0%
FFO	4,346.3	5,017.2	5,744.9	6,516.9	4,361.9	5,041.2	5,774.5	6,568.4	+0.1%	+0.5%	+0.5%	+0.8%
FFO per Share (Diluted)	\$43.78	\$48.89	\$56.37	\$63.10	\$43.84	\$50.13	\$56.66	\$63.60	+0.1%	+0.5%	+0.5%	+0.8%
% YoY Growth	14.2%	14.0%	13.0%	11.9%	14.4%	14.3%	13.0%	12.2%	+15 bps	+40 bps	+4 bps	+31 bps

Source: Company data, Morgan Stanley Research

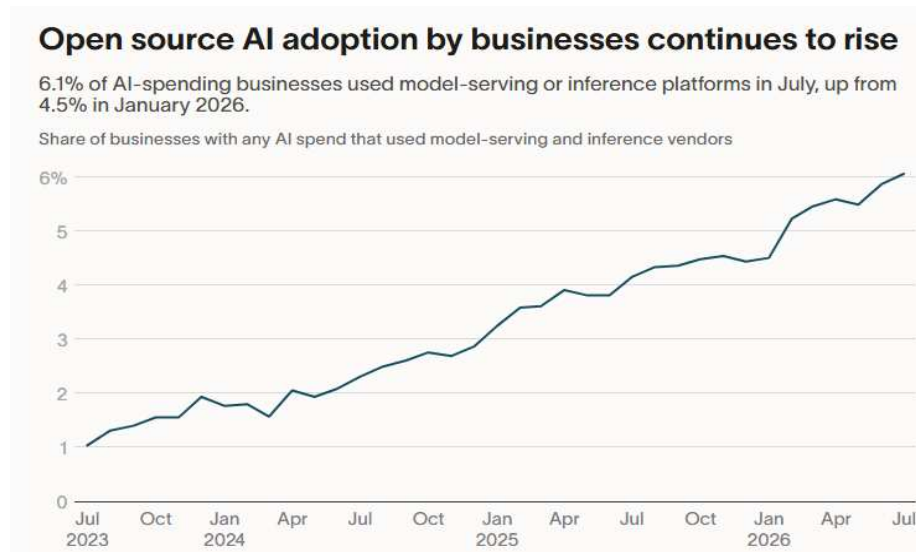
Open-Weight Models

As our Thematics team wrote last week (see [here](#)), open-weight models have secured a strong foothold in the AI debate. Investors are concerned that compute and AI infrastructure demand will fall with the proliferation of smaller, more efficient open-weight Chinese models (see [China AI Foundation Models](#)). We believe open-weight models are good for competition and can enable faster AI diffusion, supported by the Jevons Paradox. While three "states of the world" may emerge for open- vs. closed-weight models (closed models win, open models win or a hybrid scenario) we see colocation data center operators benefitting to varying degrees.

Why does the open- vs. closed-weight mix matter for data centers? We see open-weight share gains skewing the opportunity toward EQIX, as they give enterprises greater control over where and how inference is deployed. Rather than relying primarily on centralized model-provider APIs, enterprises can fine tune and deploy open models on private infrastructure in colocation facilities while routing different workloads across multiple models and providers. We expect this to create a more distributed and interconnected architecture, increasing the number of endpoints between enterprise data, compute infrastructure, clouds and model providers and, in turn, the value of private, low-latency connectivity. Equinix shines in this environment given its retail heavy enterprise footprint and scaled interconnection ecosystem.

Conversely, a world in which closed-weight frontier models retain a greater share should favor DLR and BXDC on a relative basis. Closed models are more likely to be served from infrastructure operated by frontier labs and hyperscalers, concentrating inference workloads within a smaller number of very large compute environments rather than distributing them across enterprise-controlled infrastructure. That should translate into fewer but significantly larger, higher-density deployments, a demand profile that maps more directly to DLR and BXDC's hyperscale customer exposure and large-block wholesale leasing model.

We expect these operators to participate under either outcome. EQIX has xScale exposure to hyperscale demand and DLR has a meaningful retail and interconnection business, but open-weight adoption should tilt incremental demand toward EQIX's interconnection model, while closed-weight dominance should tilt it toward DLR's scale oriented approach. BXDC, while having not yet acquired a data center, is targeting wholesale leasing to hyperscale tenants, and likely benefits more if closed-weight models maintain share.

Exhibit 8: Enterprises are continuing to adopt open source models

Source: Ramp

Exhibit 9: The combination of 1) mix shifting to open-weights models, and 2) closed-weights model price declines is causing a decline in overall token prices

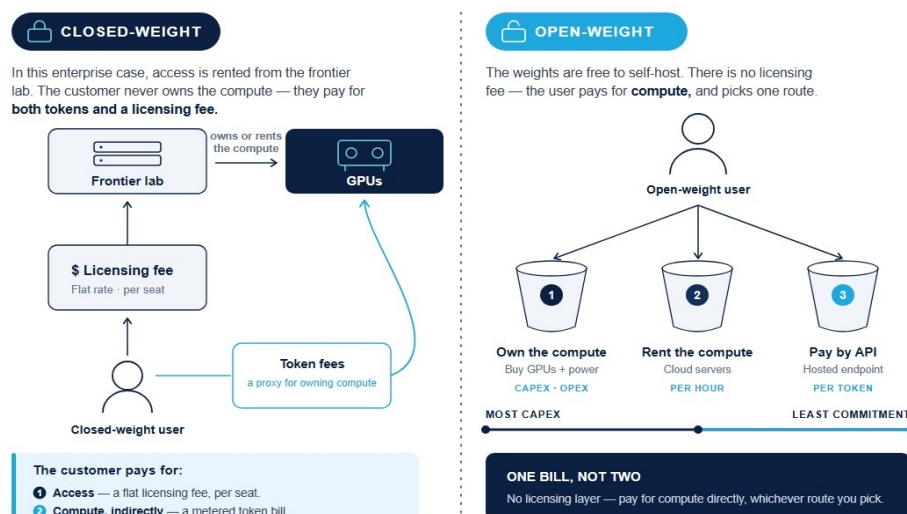
Source: Silicon Data

What are open-source models? Put simply, they are models that can be adapted to a specific use case (provided a user has sufficient time, money, and compute) while closed weight models are the same for every user. Open-weight or closed-weight is not necessarily a permanent state, rather describing the permissions of a user's access. The highest-performing models, like those produced by the frontier labs, are closed weight because of the incredible monetary costs with producing them. These companies cannot afford to give these models away until they release their next generation of models. It is at this point that the former "best" models become a part of a "freemium" model to encourage non-paying users to adopt the technology while gating them from the best available product.

Historically, open-weights models tend to be smaller (in number of total parameters), faster, and more cost-efficient; as such, the wider audience came to expect these models to be of "lower quality" or "light" versions of the higher-parameter frontier models (known

as closed-weight models). The difference between open-weights (or open-weight) models and closed weight models has nothing to do with the number of active parameters, overall cost, or efficiency. The distinction between the two relates to how users pay and/or interact with the models: **open-source models are 1) free to access, as opposed to gated by subscriptions, 2) able to be trained and tuned (weights are "open" or able to be changed), as opposed to being the same for every user (weights are "closed"), and 3) give ultimate deployment flexibility, as it can be run on-prem, in the cloud, or through an API (either model creator's API, hosted service like AWS Bedrock, or self-hosted API; outlined in Exhibit 10).** Closed-weight models, alternately, can either be accessed directly from a model provider (the user pays a licensing fee, like a subscription, for access, and a token cost that serves as a proxy for GPU usage) or through a cloud provider should PII be a concern.

Exhibit 10: Enterprise closed weight users incur both licensing and token costs while open-weight users pay for their usage in three main ways



Source: Morgan Stanley Research

A few notable company references to open-weights models during recent earnings:

- **Pinterest** is utilizing open-source models post-trained on their data with applications like Pinterest Assistant and a model router layer to optimize model use. This is helping them achieve "cost per transaction at less than 8% of the cost of comparable closed proprietary models." They cited that this opportunity becomes even more compelling as open-source models, including those from the US labs, continue to improve.
- **Revolve** is utilizing a model routing layer and commented: "open source and some of these lower-cost models is going to be a huge part of the mix. It's already a huge part of our mix."
- **Spotify** is allowing users to "switch models mid-task and route every job to the best available performance," including to open source models.
- **Duolingo** noted "our view inside the company is that it is in our best interest as a company to use open weight models as much as possible, so if I had a magic wand, I would try to move everything to an open weight model" due to cost considerations.

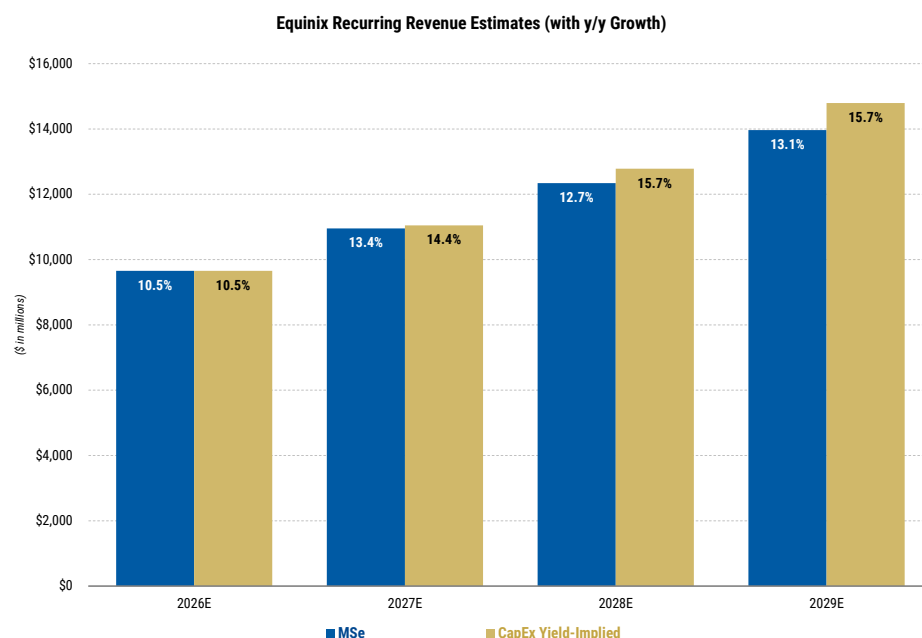
Data Center Moratoriums

The political drum beat against data centers is getting louder. Texas is auditing every data center advancing through ERCOT's interconnection process against more than 474 GW of pending requests, ~90% data center-related, with major developers indicating they will comply. Virginia's July 31 Rider T1 order moves Dominion toward "cost causer pays" for direct-connect transmission. Ohio's debate has become electoral through Vivek Ramaswamy's "Ohioans-First" proposal, which is not current law and is better read as a sentiment indicator than a change to project economics.

We expect this conversation to spread as it gains relevance with voters ahead of the midterms - the majority of community pushback is concentrated around 3 issues: (1) Affordability and the concern that data center power consumption will raise consumer power bills, (2) Environmental issues, especially water use and air pollution, and (3) Quality of life concerns including noise, dust, and traffic.

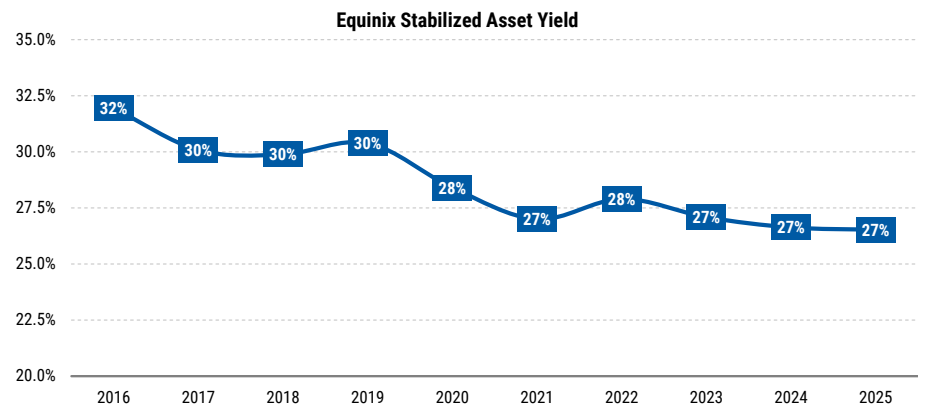
While we see the colocation data centers as relatively insulated given their size, modest AI exposure and critical nature, the further politicization of AI data centers is the bear case for future development and growth. As scrutiny intensifies, operators will likely opt to pay for infrastructure to protect ratepayers, similar to Equinix's announcement in Georgia [here](#). While modest now, **this trend may ultimately compress development yields**. Below we outline potential impact to Equinix's recurring revenue growth if stabilized yields fall to 25%, below the historical average ([Exhibit 11](#)). We do see this as a risk, but note even at yields below the historical average Equinix can still growth revenue double digits y/y.

Exhibit 11: Our capex yield analysis conservatively assumes 25% stabilized gross profit yields and implies upside to our recurring revenue estimates



Source: Company data, Morgan Stanley Research

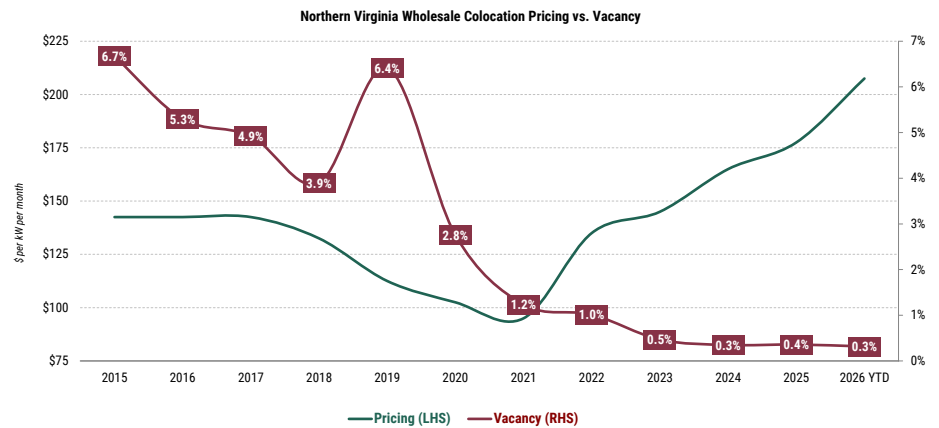
Exhibit 12: While stabilized asset yields have fallen over the last 10 years, Equinix expects consistent yields going forward



Source: Company data, Morgan Stanley Research

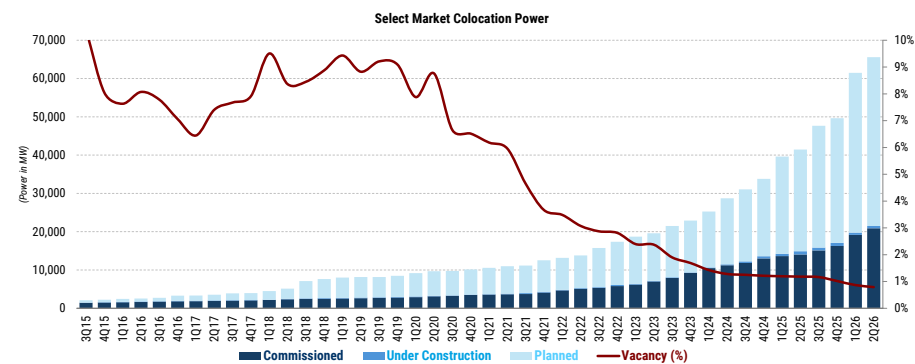
The bull case is a favorable read to incumbent players with operational powered assets. If further developments are delayed or banned, we expect pricing power for operational assets to inflect higher. We look to Northern Virginia's historical pricing and vacancy trends as an example - the lack of incremental power limited developments and dropped vacancy rates, and pricing increased 118% over 5 years ([Exhibit 13](#)). We would expect a directionally similar pricing uplift for the incumbent operators in this scenario.

Exhibit 13: In Northern Virginia, wholesale colocation pricing growth inflected when vacancy dropped below 2% in 2021



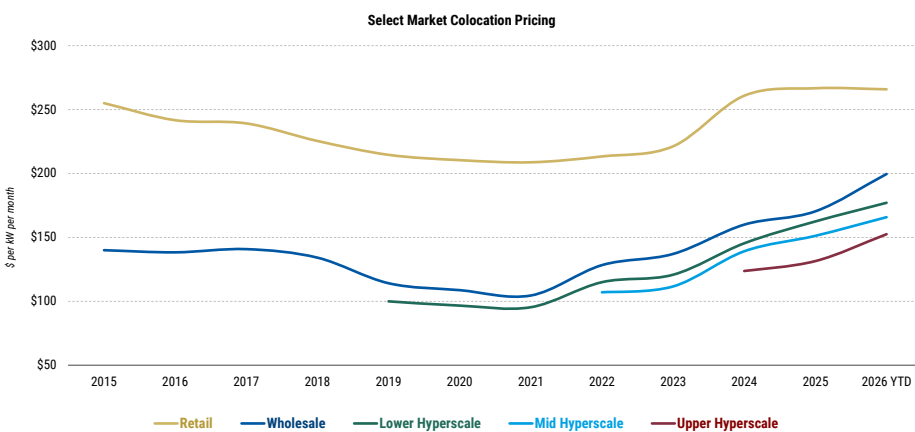
Source: DataCenterHawk, Morgan Stanley Research
Note: Wholesale defined as 250 kW - 4 MW

Exhibit 14: The recent data center demand inflection has driven down vacancy rates in select markets despite steadily growing power capacity



Source: DataCenterHawk, Morgan Stanley Research
Note: Data reflects Atlanta, Chicago, Dallas Ft. Worth, Northern California, Northern Virginia, Phoenix. Vacancy calculated as Available / Commissioned Power.

Exhibit 15: Colocation pricing has risen in select markets across the entire deployment spectrum, with wholesale and hyperscale rates growing fastest in recent years



Source: DataCenterHawk, Morgan Stanley Research
Note: Average pricing calculated as an unweighted average of midpoints for Northern Virginia, Atlanta, Chicago, Dallas Ft. Worth, Northern California, and Phoenix. Retail defined as leases <250 kW, Wholesale defined as 250 kW - 4 MW, Lower Hyperscale defined as 4 - 25 MW, Mid Hyperscale defined as 25 - 100 MW, Upper Hyperscale defined as >100 MW.

Exhibit 16: Our analysis of quarterly supply growth vs. absorption shows that demand began to outstrip supply in 2021, coinciding with falling vacancy and pricing growth across select markets

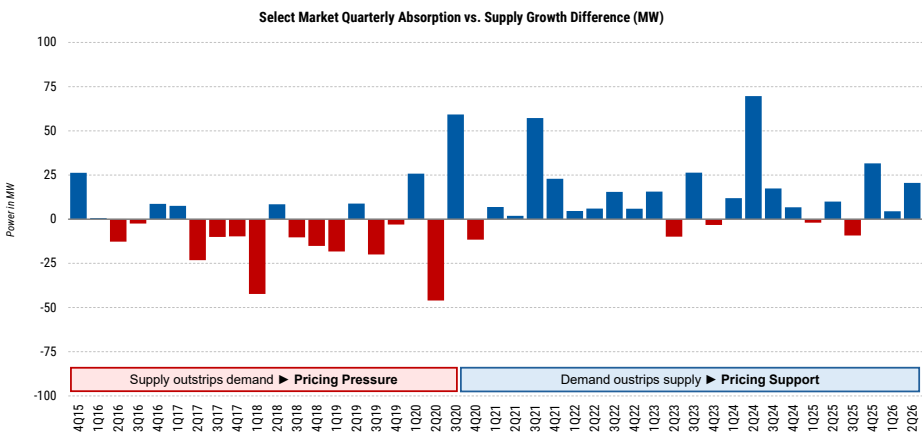
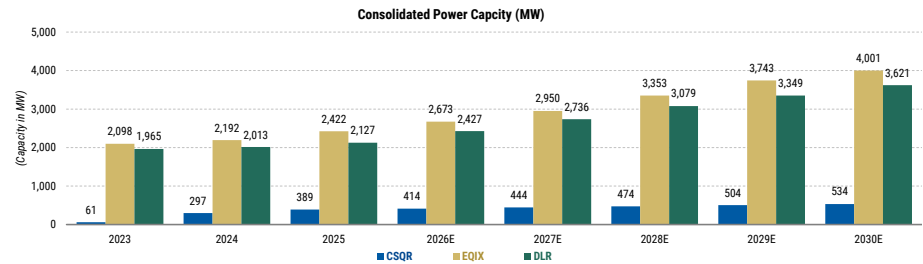
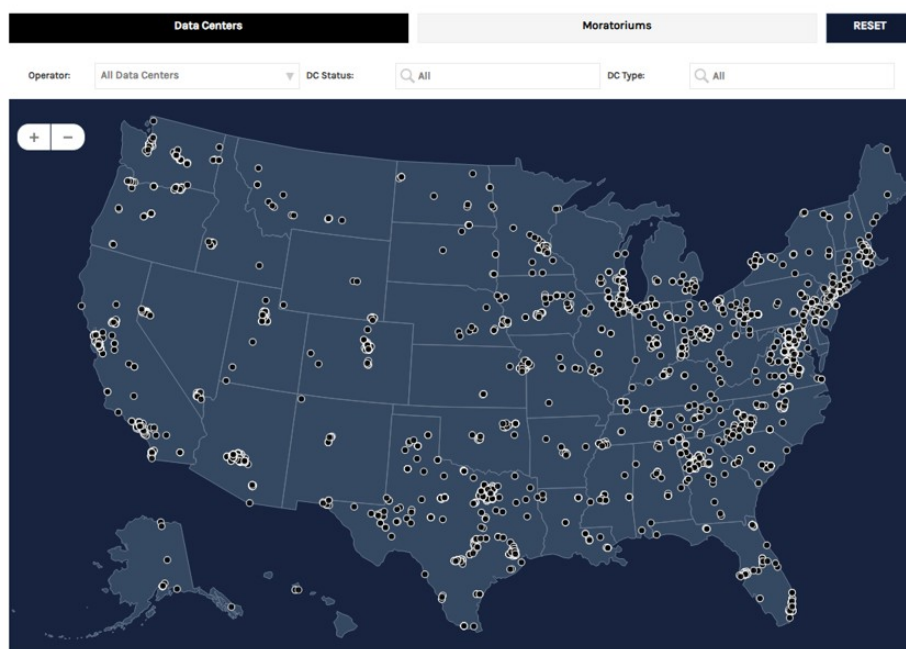


Exhibit 17: We expect all 3 colocation data center operators to continue adding new power capacity, a key revenue growth driver



We track current opposition efforts via moratoriums below overlaid with the footprint of the three colocation data centers, along with all other data centers based on 451 Research data:

Exhibit 18 Tracking Data Center Moratoriums



Source: AlphaWise Web Intelligence, Morgan Stanley Research, 451 Research, Interconnected Capital.

The mapping tool provides an overview of the following datasets:

451 Research Data Center Locations (as of 1Q26), including owner, operational status, and utility power usage (where available). This dataset can be toggled to differentiate between existing data centers and those still in the planning or construction phase. Given the rapid growth in the announced data center pipeline and evolving project disclosures, our analysis should be viewed as a point-in-time snapshot of the industry's geographic distribution, constrained by currently available data.

Interconnected Capital's Moratorium Tracker including status, length and scope (as of 8/18/26).

Sovereign AI

We see colocated data centers (EQIX, DLR, CSQR) as one of the cleaner infrastructure beneficiaries of sovereign AI. The broader sovereign AI thesis implies more domestic and regional compute, greater redundancy and less globally fungible infrastructure as governments and enterprises place greater emphasis on local hosting and control over sensitive data. Colocation data centers fit this model well. Operators including Equinix, Digital Realty and Csquare provide the physical infrastructure (power, cooling, space, security and interconnection) while customers control the IT equipment and workloads running inside the facility. As a result, data center operators are more directly **exposed to where compute has to reside and how it connects rather than to which chip, model or software stack ultimately wins.**

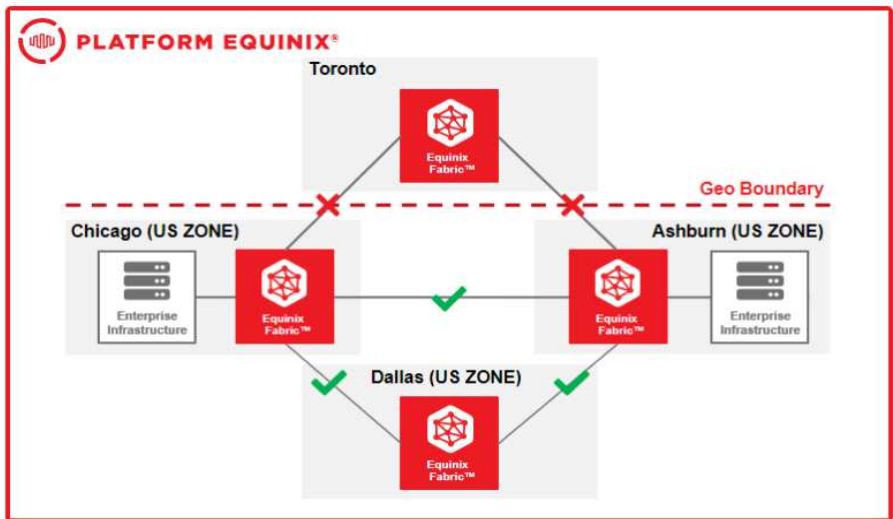
The sovereign AI opportunity is accompanied by greater regulatory complexity. If sovereign AI rules expand from restrictions on chips and models toward requirements around offshore compute, customer verification, cybersecurity or network routing, data center operators themselves could face additional compliance obligations and less flexibility in how capacity is used across customers and geographies.

Overall, we see Equinix as best positioned as sovereignty broadens out into control over the infrastructure and connectivity architecture. Equinix messaging has evolved from sovereignty keeping data and compute local toward enterprises ensuring control over where data is stored, processed and transferred. This includes the routes data takes between private infrastructure and multiple clouds. On the most recent earnings call, Equinix highlighted four AI use cases in its enterprise customer base:

1. customers running open-weight models on private AI infrastructure to lower token costs;
2. sovereign AI stacks deployed for residency and compliance;
3. AI factories supporting training and batch inference; and
4. metro-based inference where latency and data backhaul costs favor local deployment.

We expect sovereignty to require more geographically distributed private infrastructure and tighter control over the connections between clouds, AI providers and local compute. Equinix capitalizes on this requirement directly through Fabric Geo Zones (see [here](#) and [Exhibit 19](#)), which can geofence traffic within a particular country. Equinix has greater China exposure than DLR or Csquare, though its footprint is relatively modest at 6 Hong Kong IBXs and 5 partner operated sites in Shanghai versus ~280 data centers globally. Deeper US-China bifurcation could add regulatory complexity, but also reinforce demand for duplicated, jurisdiction specific infrastructure.

Exhibit 19: Equinix's Fabric Geo Zones give control over where traffic is allowed to travel across the Equinix Fabric Network



Source: Equinix

Digital Realty should also benefit as AI sovereignty increases demand for localized private infrastructure. DLR differs in its greater weighting towards large scale workload deployment, with an ability to service governments, regulated enterprises and multinationals that need AI infrastructure close to sensitive data while retaining connectivity to broader cloud ecosystems. Similar to EQIX, restrictions on specific models or accelerators should primarily affect the customer stack rather than DLR's underlying space, power and cooling business. We note tighter compute or KYC rules could increase compliance requirements.

DLR also has relatively limited direct China exposure, concentrated in Hong Kong rather than mainland China, reducing regulatory risk from deeper US-China bifurcation. We see AI sovereignty primarily as an incremental demand opportunity through localized compute, Private AI and duplicated regional capacity, with Europe a particularly relevant opportunity as the region seeks to expand domestic data center capacity and cloud and AI sovereignty.

Csquare offers a cleaner geographic expression of the sovereignty theme, though with current limited exposure to AI inference workloads. Csquare's portfolio is concentrated in the US, Canada and the UK and has no China exposure. Its presence in Tier 1 markets positions them well for distributed enterprise inference, where latency sensitive workloads increasingly need to run closer to users, applications and sensitive. We would expect this to support demand for local, customer controlled infrastructure and evolving private AI deployments. Csquare's smaller geographic footprint limits its ability than to follow multinational customers across sovereign jurisdictions, but its concentration provides relatively clean exposure to North American localization, private AI and edge inference.

Risk Reward – Equinix Inc. (EQIX.O) Top Pick

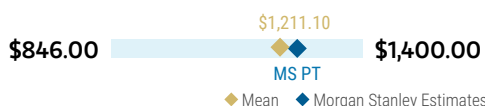
Global Leader in High Connectivity Colocation Data Centers

PRICE TARGET \$1,250.00

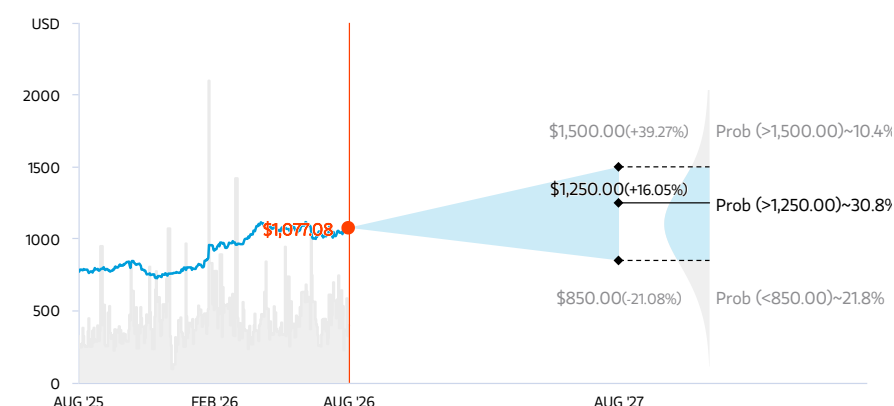
Our valuation assumes 26x fwd. Adj. EBITDA, or 25x fwd. AFFO / Share. We assume ~11.6% y/y revenue growth in FY26E, with 51% Adj. EBITDA margins and ~12.6% AFFO / share growth.

Consensus Price Target Distribution

Source: Refinitiv, Morgan Stanley Research



RISK REWARD CHART AND OPTIONS IMPLIED PROBABILITIES (12M)



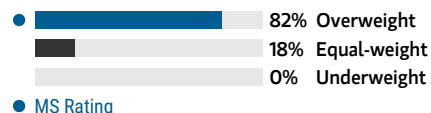
Key: — Historical Stock Performance ● Current Stock Price ◆ Price Target

Source: Refinitiv, Morgan Stanley Research, Morgan Stanley Institutional Equities Division. The probabilities of our Bull, Base, and Bear case scenarios playing out were estimated with implied volatility data from the options market as of 19 Aug 2026. All figures are approximate risk-neutral probabilities of the stock reaching beyond the scenario price in either three-months' or one-years' time. View explanation of Options Probabilities methodology [here](#)

OVERWEIGHT THESIS

- We see robust tailwinds to the retail colocation market, and see Equinix's increased capital spending positioned to further capture this demand.
- We expect MRR / billable cabinet to continue to grow as cabinet power densities increase across the portfolio of assets.
- We see room for growth on the number of interconnections / billable cabinet, increasing the stickiness of Equinix's ecosystem and driving outsized interconnection revenue growth.
- Despite market caution, we view Equinix's long-term guidance as achievable due to long-term benefits from increased capital spending, and see upside from AI related workloads (primarily inference) that is not priced in.

Consensus Rating Distribution



Source: Refinitiv, Morgan Stanley Research

Risk Reward Themes

New Data Era: *Positive*
 Secular Growth: *Positive*
 Technology Diffusion: *Positive*

View descriptions of Risk Rewards Themes [here](#)

BULL CASE \$1,500.00

29x fwd. Adj. EBITDA

Enterprises accelerate rollout of generative AI applications and integrations, rapidly increasing the demand for AI inference with low latency requirements. Equinix capitalizes through Tier 1 market locations, best-in-class interconnection network, and modest pricing growth. Assumes ~12% y/y revenue growth in FY26E, with ~52% Adj. EBITDA margins and 14.4% AFFO / share growth.

BASE CASE \$1,250.00

26.1x fwd. Adj. EBITDA

Equinix's capex plans translate into significant returns, leading to results that exceed long-term management guidance from the 2025 Analyst Day. Interconnect continues to be a sticky product, and the data center industry sees firm pricing. Assumes ~11.6% y/y revenue growth in FY26E, with 51% Adj. EBITDA margins and 12.6% AFFO / share growth. 26.1x EBITDA assumes modest multiple expansion given double digit growth in revenue and shifting market narrative to AI winner.

BEAR CASE \$850.00

20.9x fwd. Adj. EBITDA

Macro softness reduces IT infrastructure investment, bringing down data center demand. Equinix sees lower returns on heavy capital investment plan as absorption levels and presales fall short of expectations. Assumes ~10.9% y/y revenue growth in FY26E, with 50.7% Adj. EBITDA margins and ~11% AFFO / share growth.

Risk Reward – Equinix Inc. (EQIX.O)

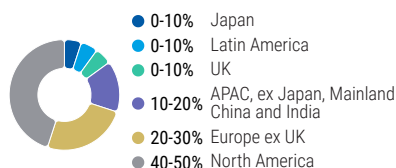
KEY EARNINGS INPUTS

Drivers	Dec 2025	Dec 2026e	Dec 2027e	Dec 2028e
Total revenue growth (Y/Y) (%)	5.4	11.6	12.1	12.5
AFFO per share growth (Y/Y) (%)	9.4	12.6	11.2	9.8
Adjusted EBITDA growth (Y/Y) (%)	10.6	16.3	13.8	13.3
Capex (\$) (\$, mm)	4,311	5,823	5,997	6,363

INVESTMENT DRIVERS

- Demand has outpaced supply in recent years, putting upward pressure on pricing and benefitting data centers.
- Hyperscalers continue to build AI data centers, and the role of inference in colocation data centers remains uncertain.

GLOBAL REVENUE EXPOSURE



Source: Morgan Stanley Research Estimate
View explanation of regional hierarchies [here](#)

MS ALPHA MODELS

3/5 BEST	24 Month Horizon	4/5 MOST	3 Month Horizon
---------------------	-----------------------------	---------------------	----------------------------

Source: Refinitiv, FactSet, Morgan Stanley Research; 1 is the highest favored Quintile and 5 is the least favored Quintile

RISKS TO PT/RATING

RISKS TO UPSIDE

- Power supply remains constrained, reducing risk of overbuild and strengthening pricing power
- Sustained growth in interconnections / billable cabinets

RISKS TO DOWNSIDE

- Macroeconomic softness reducing investments in IT data center spend
- Excess supply coming online and pressuring pricing power
- Larger than expected power density requirements increasing obsolescence risk
- Interest rates higher for longer

OWNERSHIP POSITIONING

Inst. Owners, % Active	54%	
HF Sector Long/Short Ratio	1.4x	
HF Sector Net Exposure	2%	

Refinitiv; MSPB Content. Includes certain hedge fund exposures held with MSPB. Information may be inconsistent with or may not reflect broader market trends. Long/Short Ratio = Long Exposure / Short exposure. Sector % of Total Net Exposure = (For a particular sector: Long Exposure - Short Exposure) / (Across all sectors: Long Exposure - Short Exposure).

MS ESTIMATES VS. CONSENSUS

FY Dec 2026e



◆ Mean ◆ Morgan Stanley Estimates

Source: Refinitiv, Morgan Stanley Research

Risk Reward – Csquare, Inc (CSQR.N)

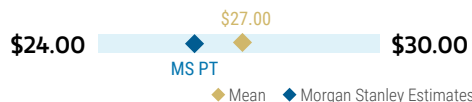
US-Focused Retail Colocation Player, Deleveraging Key to Re-Rating

PRICE TARGET \$26.00

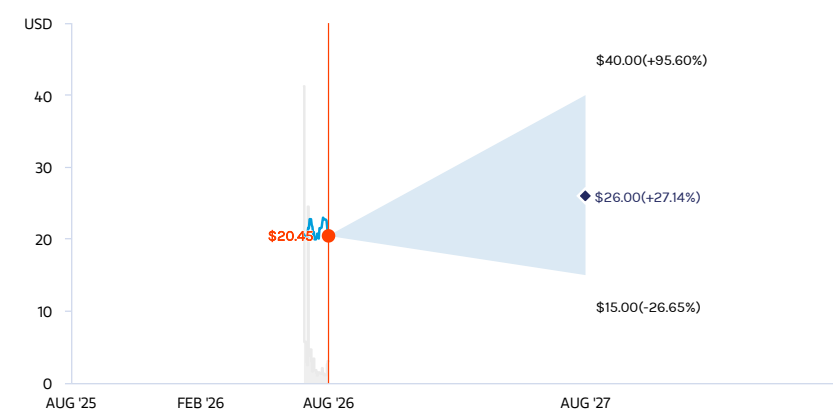
Price target reflects 15.5x fwd. EV/EBITDA, below multiples at comparable data center REIT peers, reflecting higher leverage, execution risk, and ecosystem scale. Assumes double digit revenue growth through FY28E and ~200bps of adj. EBITDA margin expansion by FY29E.

Consensus Price Target Distribution

Source: Refinitiv, Morgan Stanley Research



RISK REWARD CHART



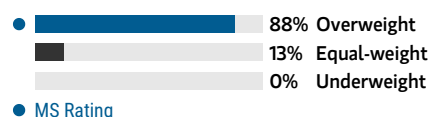
Key: — Historical Stock Performance ● Current Stock Price ◆ Price Target

Source: Refinitiv, Morgan Stanley Research

OVERWEIGHT THESIS

- We see robust tailwinds to the retail colocation market, and see Csquare's development spend plans as positioned to capture this demand.
- Targeted net development costs of \$4-8 million per MW and 4-6x targeted build multiples imply higher yields and attractive development economics vs. peers.
- We see current data center development constraints as tailwinds for operators with secured power access, offering support to pricing power over time.
- We see a path to multiple re-rating if Csquare can deliver on capacity expansion, grow the interconnection network, and demonstrate consistent deleveraging.

Consensus Rating Distribution



Source: Refinitiv, Morgan Stanley Research

Risk Reward Themes

New Data Era: Positive
Self-help: Positive
Technology Diffusion: Positive

View descriptions of Risk Rewards Themes [here](#)

BULL CASE \$40.00

16.7x fwd. adj. EBITDA

Enterprises accelerate rollout of generative AI applications and integrations, rapidly increasing the demand for AI inference with low latency requirements. Csquare is able to expand capacity at ~70 MW annually, capitalizing on both AI and non-AI workload demand. Leverage reduces by >1 turn annually, reaching target range of 6-7x in early FY28E. Assumes >20% y/y revenue growth through FY28E, with 41.4% Adj. EBITDA margins in FY27E.

BASE CASE \$26.00

15.5x fwd. adj. EBITDA

Csquare's brownfield expansion plans result in higher development yields vs. competitors, resulting in both revenue growth and leverage reduction. Csquare is able to expand capacity at ~30 MW annually, bringing revenue growth through both capacity expansion and pricing power. Leverage reduces by ~1 turn annually, reaching target range of 6-7x by the end of FY28E. Assumes double digit y/y revenue growth through FY28E, with 40.9% Adj. EBITDA margins in FY27E.

BEAR CASE \$15.00

13.2x fwd. adj. EBITDA

Csquare's expands capacity slower than initially expected, partially missing out on demand trends for both AI and non-AI workloads. Csquare is able to expand capacity at ~16 MW annually, but faces cost per MW headwinds as labor and power equipment remain supply chain constraints. Leverage reduces by ~0.5 turns annually, reaching target range of 6-7x well beyond FY30E. Assumes single digit y/y revenue growth in FY27E+, with 40.2% Adj. EBITDA margins in FY27E.

Risk Reward – Csquare, Inc (CSQR.N)

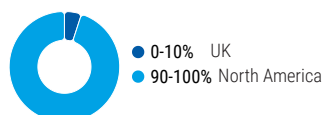
KEY EARNINGS INPUTS

Drivers	Dec 2025	Dec 2026e	Dec 2027e	Dec 2028e
Total Revenue y/y growth % (%)	8.8	17.1	15.8	10.1
Adj. EBITDA y/y growth % (%)	35.1	21.1	16.0	12.0
Sellable Power Capacity (MW)	388.7	413.7	443.7	473.7
Sellable Power Capacity added (MW)	32.0	25.0	30.0	30.0

INVESTMENT DRIVERS

- Demand has outpaced supply in recent years, putting upward pressure on pricing and benefitting data centers.
- Hyperscalers continue to build AI data centers, and the role of inference in colocation data centers remains uncertain.

GLOBAL REVENUE EXPOSURE



Source: Morgan Stanley Research Estimate
View explanation of regional hierarchies [here](#)

RISKS TO PT/RATING

RISKS TO UPSIDE

- Data center construction labor shortage alleviated, supporting low construction costs
- New data center power access remains constrained, supporting pricing power for operators with secured power

RISKS TO DOWNSIDE

- Higher labor and construction costs pressure development yields
- Macroeconomic softness reducing investments in IT data center spend
- Interest rates higher for longer

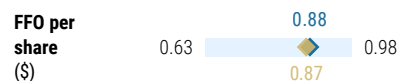
OWNERSHIP POSITIONING

HF Sector Long/Short Ratio	2.1%	
HF Sector Net Exposure	33.6x	

Source: Morgan Stanley Prime Brokerage. Includes certain hedge fund exposures held with MSPB. Information may be inconsistent with or may not reflect broader market trends. Long/Short Ratio = Long Exposure / Short exposure. Sector % of Total Net Exposure = (For a particular sector: Long Exposure - Short Exposure) / (Across all sectors: Long Exposure - Short Exposure).

MS ESTIMATES VS. CONSENSUS

FY Dec 2026e



◆ Mean ◆ Morgan Stanley Estimates

Source: Refinitiv, Morgan Stanley Research

Risk Reward – Digital Realty Trust Inc. (DLR.N)

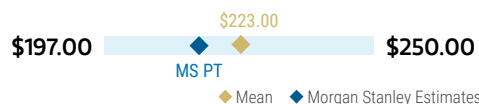
Global Scaled Colocation Data Center Operator

PRICE TARGET \$215.00

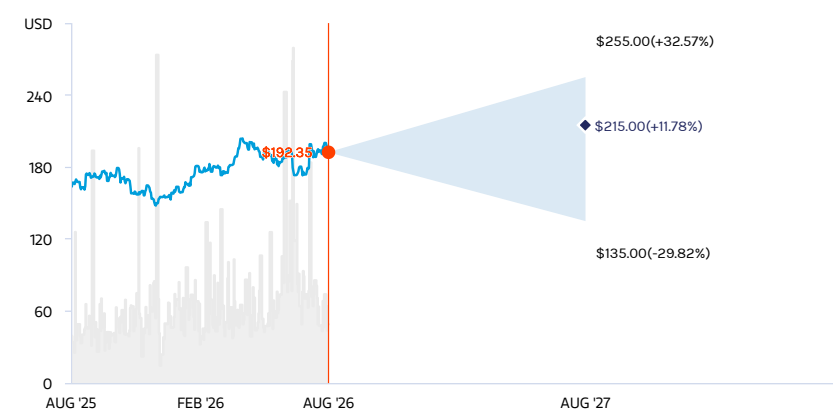
Our valuation assumes shares trade at 22.5x fwd. adj. EBITDA, or 26.2x fwd. AFFO / Share. We assume ~10.4% y/y revenue growth in FY26E, with 55.4% Adj. EBITDA margins and ~7.7% AFFO / share growth.

Consensus Price Target Distribution

Source: Refinitiv, Morgan Stanley Research



RISK REWARD CHART



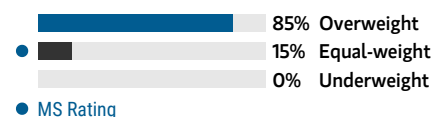
Key: — Historical Stock Performance ● Current Stock Price ◆ Price Target

Source: Refinitiv, Morgan Stanley Research

EQUAL-WEIGHT THESIS

- Growth in the volume of global data generation, hybrid cloud adoption, and enterprise digital transformation should serve as long-term tailwinds to revenue growth for Digital Realty.
- A large development capacity gives solid line of sight into power needs, enabling future developments to further capture this demand.
- Digital Realty has greater exposure to the wholesale leasing part of the market with longer lease times and lower pricing on a \$ / kW basis due to higher customer concentration of tenants with greater bargaining power.
- We believe the market is overly optimistic about AI-fueled growth in the short-term.

Consensus Rating Distribution



Source: Refinitiv, Morgan Stanley Research

Risk Reward Themes

New Data Era: *Positive*
 Secular Growth: *Positive*
 Technology Diffusion: *Positive*

View descriptions of Risk Rewards Themes [here](#)

BULL CASE

\$255.00

24.7x fwd. Adj. EBITDA

Demand for both AI and non-AI workloads in data centers remains high, while power supply remains constrained, leading to higher leasing prices. DLR earns high returns from AI-focused JVs. **Assumes 11.9% y/y revenue growth in FY26E, with 55.9% Adj. EBITDA margins and 9.6% AFFO / share growth.**

BASE CASE

\$215.00

22.5x fwd. Adj. EBITDA

DLR benefits from industry growth based on data generation volume, enterprise digital transformation, and hybrid cloud adoption. Market remains optimistic on AI-fueled growth, reducing likelihood of outperformance. **Assumes 10.4% y/y revenue growth in FY26E, with 55.4% Adj. EBITDA margins and ~7.7% AFFO / share growth. 22.5x EV / fwd. EBITDA and 26.2x fwd. AFFO in-line with historical trading multiples.**

BEAR CASE

\$135.00

16.8x fwd. Adj. EBITDA

Macroeconomic softness reduces investments in IT data center spend. Excess supply comes online and pressures pricing power. Larger than expected power density requirements increase obsolescence risk of current data centers. Interest rates remain higher for longer, weighing on data center REIT multiples. **Assumes ~9.5% y/y revenue growth in FY26E, with 54.9% Adj. EBITDA margins and ~6.2% AFFO / share growth.**

Risk Reward – Digital Realty Trust Inc. (DLR.N)

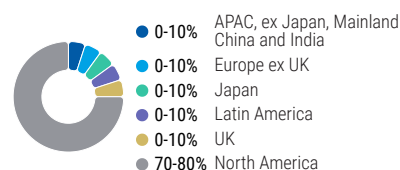
KEY EARNINGS INPUTS

Drivers	Dec 2025	Dec 2026e	Dec 2027e	Dec 2028e
AFFO per share growth (Y/Y) (%)	7.2	17.9	6.5	10.8
Adjusted EBITDA growth (Y/Y) (%)	13.3	15.1	13.8	14.4
Total revenue growth (%)	10.0	16.3	11.6	13.8

INVESTMENT DRIVERS

- Demand has outpaced supply in recent years, putting upward pressure on pricing and benefitting data centers.
- Hyperscalers continue to build AI data centers, and the role of inference in colocation data centers remains uncertain.

GLOBAL REVENUE EXPOSURE



Source: Morgan Stanley Research Estimate
View explanation of regional hierarchies [here](#)

MS ALPHA MODELS

3/5 BEST	24 Month Horizon	2/5 MOST	3 Month Horizon
---------------------	-----------------------------	---------------------	----------------------------

Source: Refinitiv, FactSet, Morgan Stanley Research; 1 is the highest favored Quintile and 5 is the least favored Quintile

RISKS TO PT/RATING

RISKS TO UPSIDE

- Power supply remains constrained, reducing risk of overbuild and strengthening pricing power
- Increased latency requirements for AI inference

RISKS TO DOWNSIDE

- Macroeconomic softness reducing investments in IT data center spend
- Excess supply coming online and pressuring pricing power
- Larger than expected power density requirements increasing obsolescence risk of current data centers
- Interest rates higher for longer

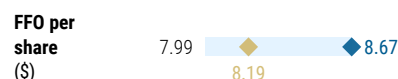
OWNERSHIP POSITIONING

Inst. Owners, % Active	48.8%	
HF Sector Long/Short Ratio	1.4x	
HF Sector Net Exposure	2%	

Refinitiv; MSPB Content. Includes certain hedge fund exposures held with MSPB. Information may be inconsistent with or may not reflect broader market trends. Long/Short Ratio = Long Exposure / Short exposure. Sector % of Total Net Exposure = (For a particular sector: Long Exposure - Short Exposure) / (Across all sectors: Long Exposure - Short Exposure).

MS ESTIMATES VS. CONSENSUS

FY Dec 2026e



Source: Refinitiv, Morgan Stanley Research

Risk Reward Reference links

1. View explanation of Options Probabilities methodology - [Options_Probabilities_Exhibit_Link.pdf](#)
2. View descriptions of Risk Rewards Themes - [RR_Themes_Exhibit_Link.pdf](#)
3. View explanation of regional hierarchies - [GEG_Exhibit_Link.pdf](#)
4. View explanation of Theme/Exposure methodology - [ESG_Sustainable_Solutions_External_Link.pdf](#)
5. View explanation of HERS methodology - [ESG_HERS_External_Link.pdf](#)

Disclosure Section

The information and opinions in Morgan Stanley Research were prepared by Morgan Stanley & Co. LLC, and/or Morgan Stanley C.T.V.M. S.A., and/or Morgan Stanley Mexico, Casa de Bolsa, S.A. de C.V., and/or Morgan Stanley Canada Limited. As used in this disclosure section, "Morgan Stanley" includes Morgan Stanley & Co. LLC, Morgan Stanley C.T.V.M. S.A., Morgan Stanley Mexico, Casa de Bolsa, S.A. de C.V., Morgan Stanley Canada Limited and their affiliates as necessary.

For important disclosures, stock price charts and equity rating histories regarding companies that are the subject of this report, please see the Morgan Stanley Research Disclosure Website at www.morganstanley.com/eqr/disclosures/webapp/generalresearch, or contact your investment representative or Morgan Stanley Research at 1585 Broadway, (Attention: Research Management), New York, NY, 10036 USA.

For valuation methodology and risks associated with any recommendation, rating or price target referenced in this research report, please contact the Client Support Team as follows: US/Canada +1 800 303-2495; Hong Kong +852 2848-5999; Latin America +1 718 754-5444 (U.S.); London +44 (0)20-7425-8169; Singapore +65 6834-6860; Sydney +61 (0)2-9770-1505; Tokyo +81 (0)3-6836-9000. Alternatively you may contact your investment representative or Morgan Stanley Research at 1585 Broadway, (Attention: Research Management), New York, NY 10036 USA.

Analyst Certification

The following analysts hereby certify that their views about the companies and their securities discussed in this report are accurately expressed and that they have not received and will not receive direct or indirect compensation in exchange for expressing specific recommendations or views in this report: Stephen C Byrd; Sean Diffley, CFA; Sabrina E Hao; Cameron McVeigh, CFA; Ariana Salvatore; Michelle M. Weaver, CFA.

Global Research Conflict Management Policy

Morgan Stanley Research has been published in accordance with our conflict management policy, which is available at www.morganstanley.com/institutional/research/conflict/policies. A Portuguese version of the policy can be found at www.morganstanley.com.br

Important Regulatory Disclosures on Subject Companies

As of July 31, 2026, Morgan Stanley beneficially owned 1% or more of a class of common equity securities of the following companies covered in Morgan Stanley Research: American Tower Corp., Crown Castle Corp., Digital Realty Trust Inc., Equinix Inc., SBA Communications.

Within the last 12 months, Morgan Stanley managed or co-managed a public offering (or 144A offering) of securities of American Tower Corp., Blackstone Digital Infrastructure Trust, Csquare, Inc, Digital Realty Trust Inc., Equinix Inc., SBA Communications.

Within the last 12 months, Morgan Stanley has received compensation for investment banking services from American Tower Corp., Blackstone Digital Infrastructure Trust, Crown Castle Corp., Csquare, Inc, Digital Realty Trust Inc., Equinix Inc., SBA Communications.

In the next 3 months, Morgan Stanley expects to receive or intends to seek compensation for investment banking services from American Tower Corp., Blackstone Digital Infrastructure Trust, Crown Castle Corp., Csquare, Inc, Digital Realty Trust Inc., Equinix Inc., SBA Communications.

Within the last 12 months, Morgan Stanley has received compensation for products and services other than investment banking services from American Tower Corp., Crown Castle Corp., Csquare, Inc, Digital Realty Trust Inc., Equinix Inc., SBA Communications.

Within the last 12 months, Morgan Stanley has provided or is providing investment banking services to, or has an investment banking client relationship with, the following company: American Tower Corp., Blackstone Digital Infrastructure Trust, Crown Castle Corp., Csquare, Inc, Digital Realty Trust Inc., Equinix Inc., SBA Communications.

Within the last 12 months, Morgan Stanley has either provided or is providing non-investment banking, securities-related services to and/or in the past has entered into an agreement to provide services or has a client relationship with the following company: American Tower Corp., Crown Castle Corp., Csquare, Inc, Digital Realty Trust Inc., Equinix Inc., SBA Communications.

Morgan Stanley & Co. LLC makes a market in the securities of Equinix Inc.

The equity research analysts or strategists principally responsible for the preparation of Morgan Stanley Research have received compensation based upon various factors, including quality of research, investor client feedback, stock picking, competitive factors, firm revenues and overall investment banking revenues. Equity Research analysts' or strategists' compensation is not linked to investment banking or capital markets transactions performed by Morgan Stanley or the profitability or revenues of particular trading desks.

Morgan Stanley and its affiliates do business that relates to companies/instruments covered in Morgan Stanley Research, including market making, providing liquidity, fund management, commercial banking, extension of credit, investment services and investment banking. Morgan Stanley sells to and buys from customers the securities/instruments of companies covered in Morgan Stanley Research on a principal basis. Morgan Stanley may have a position in the debt of the Company or instruments discussed in this report. Morgan Stanley trades or may trade as principal in the debt securities (or in related derivatives) that are the subject of the debt research report.

Certain disclosures listed above are also for compliance with applicable regulations in non-US jurisdictions.

STOCK RATINGS

Morgan Stanley uses a relative rating system using terms such as Overweight, Equal-weight, Not-Rated or Underweight (see definitions below). Morgan Stanley does not assign ratings of Buy, Hold or Sell to the stocks we cover. Overweight, Equal-weight, Not-Rated and Underweight are not the equivalent of buy, hold and sell. Investors should carefully read the definitions of all ratings used in Morgan Stanley Research. In addition, since Morgan Stanley Research contains more complete information concerning the analyst's views, investors should carefully read Morgan Stanley Research, in its entirety, and not infer the contents from the rating alone. In any case, ratings (or research) should not be used or relied upon as investment advice. An investor's decision to buy or sell a stock should depend on individual circumstances (such as the investor's existing holdings) and other considerations.

Global Stock Ratings Distribution

(as of July 31, 2026)

The Stock Ratings described below apply to Morgan Stanley's Fundamental Equity Research and do not apply to Debt Research produced by the Firm.

For disclosure purposes only (in accordance with FINRA requirements), we include the category headings of Buy, Hold, and Sell alongside our ratings of Overweight, Equal-weight, Not-Rated and Underweight. Morgan Stanley does not assign ratings of Buy, Hold or Sell to the stocks we cover. Overweight, Equal-weight, Not-Rated and Underweight are not the equivalent of buy, hold, and sell but represent recommended relative weightings (see definitions below). To satisfy regulatory requirements, we correspond Overweight, our most positive stock rating, with a buy recommendation; we correspond Equal-weight and Not-Rated to hold and Underweight to sell recommendations, respectively.

Coverage Universe			Investment Banking Clients (IBC)			Other Material Investment Services Clients (MISC)	
Stock Rating Category	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1529	42%	442	47%	29%	750	43%
Equal-weight/Hold	1582	43%	396	42%	25%	773	44%
Not-Rated/Hold	3	0%	1	0%	33%	1	0%
Underweight/Sell	560	15%	97	10%	17%	217	12%
Total	3,674		936			1741	

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

Analyst Stock Ratings

Overweight (O). The stock's total return is expected to exceed the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Equal-weight (E). The stock's total return is expected to be in line with the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Not-Rated (NR). Currently the analyst does not have adequate conviction about the stock's total return relative to the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Underweight (U). The stock's total return is expected to be below the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Unless otherwise specified, the time frame for price targets included in Morgan Stanley Research is 12 to 18 months.

Analyst Industry Views

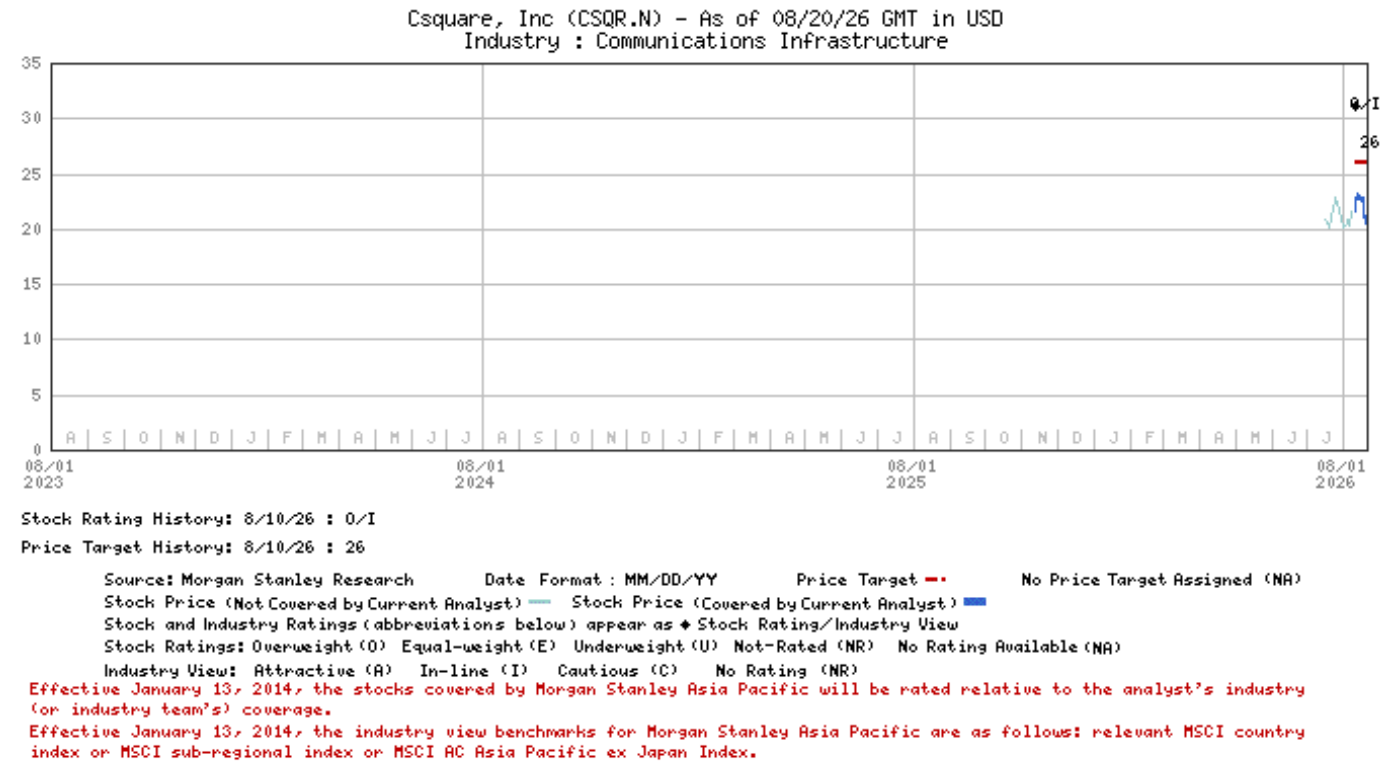
Attractive (A): The analyst expects the performance of his or her industry coverage universe over the next 12-18 months to be attractive vs. the relevant broad market benchmark, as indicated below.

In-Line (I): The analyst expects the performance of his or her industry coverage universe over the next 12-18 months to be in line with the relevant broad market benchmark, as indicated below.

Cautious (C): The analyst views the performance of his or her industry coverage universe over the next 12-18 months with caution vs. the relevant broad market benchmark, as indicated below.

Benchmarks for each region are as follows: North America - S&P 500; Latin America - relevant MSCI country index or MSCI Latin America Index; Europe - MSCI Europe; Japan - TOPIX; Asia - relevant MSCI country index or MSCI sub-regional index or MSCI AC Asia Pacific ex Japan Index.

Stock Price, Price Target and Rating History (See Rating Definitions)



Digital Realty Trust Inc. (DLR.N) - As of 08/20/26 GMT in USD
Industry : Communications Infrastructure



Stock Rating History: 8/1/21 : E/A; 7/20/22 : E/I; 3/28/25 : NA/I; 10/3/25 : NA/I; 10/16/25 : E/I

Price Target History: 9/29/20 : 148; 12/16/21 : 154; 7/26/22 : 141; 10/25/22 : 107; 4/20/23 : 100; 7/26/23 : 102; 10/23/23 : 98; 12/7/23 : 100; 4/2/24 : 108; 5/7/24 : 111; 8/27/24 : 114; 2/11/25 : 113; 3/28/25 : NA; 10/16/25 : 195; 4/13/26 : 210; 4/24/26 : 215

Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target --- No Price Target Assigned (NA)

Stock Price (Not Covered by Current Analyst) — Stock Price (Covered by Current Analyst) —

Stock and Industry Ratings (abbreviations below) appear as ♦ Stock Rating/Industry View

Stock Ratings: Overweight (O) Equal-weight (E) Underweight (U) Not-Rated (NR) No Rating Available (NA)

Industry View: Attractive (A) In-line (I) Cautious (C) No Rating (NR)

Effective January 13, 2014, the stocks covered by Morgan Stanley Asia Pacific will be rated relative to the analyst's industry (or industry team's) coverage.

Effective January 13, 2014, the industry view benchmarks for Morgan Stanley Asia Pacific are as follows: relevant MSCI country index or MSCI sub-regional index or MSCI AC Asia Pacific ex Japan Index.

Equinix Inc. (EQIX.O) - As of 08/20/26 GMT in USD
Industry : Communications Infrastructure



Stock Rating History: 8/1/21 : E/A; 7/20/22 : E/I; 3/28/25 : NA/I; 10/16/25 : O/I

Price Target History: 9/29/20 : 712; 12/16/21 : 773; 7/26/22 : 732; 10/25/22 : 704; 2/15/23 : 702; 4/20/23 : 714; 5/29/23 : 725; 9/7/23 : 785; 12/7/23 : 767; 3/28/24 : 762; 5/15/24 : 757; 8/23/24 : 758; 2/11/25 : 809; 3/28/25 : NA; 10/16/25 : 950; 2/12/26 : 1075; 4/13/26 : 1250

Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target --- No Price Target Assigned (NA)

Stock Price (Not Covered by Current Analyst) — Stock Price (Covered by Current Analyst) —

Stock and Industry Ratings (abbreviations below) appear as ♦ Stock Rating/Industry View

Stock Ratings: Overweight (O) Equal-weight (E) Underweight (U) Not-Rated (NR) No Rating Available (NA)

Industry View: Attractive (A) In-line (I) Cautious (C) No Rating (NR)

Effective January 13, 2014, the stocks covered by Morgan Stanley Asia Pacific will be rated relative to the analyst's industry (or industry team's) coverage.

Effective January 13, 2014, the industry view benchmarks for Morgan Stanley Asia Pacific are as follows: relevant MSCI country index or MSCI sub-regional index or MSCI AC Asia Pacific ex Japan Index.

Important Disclosures for Morgan Stanley Smith Barney LLC Customers

Important disclosures regarding any material conflict of interest that can reasonably be expected to have influenced Morgan Stanley Smith Barney LLC's choice of a third-party research provider or the subject company of a third-party research report, are available on the Morgan Stanley Wealth Management disclosure website at www.morganstanley.com/online/researchdisclosures. For Morgan Stanley specific disclosures, you may refer to <https://www.morganstanley.com/eqr/disclosures/webapp/generalresearch>.

Each Morgan Stanley research report is reviewed and approved on behalf of Morgan Stanley Smith Barney LLC. This review and approval is conducted by the same person who reviews the research report on behalf of Morgan Stanley. This could create a conflict of interest.

Other Important Disclosures

Morgan Stanley Research policy is to update research reports as and when the Research Analyst and Research Management deem appropriate, based on developments with the issuer, the sector, or the market that may have a material impact on the research views or opinions stated therein. In addition, certain Research publications are intended to be updated on a regular periodic basis (weekly/monthly/quarterly/annual) and will ordinarily be updated with that frequency, unless the Research Analyst and Research Management determine that a different publication schedule is appropriate based on current conditions.

Morgan Stanley is not acting as a municipal advisor and the opinions or views contained herein are not intended to be, and do not constitute, advice within the meaning of Section 975 of the Dodd-Frank Wall Street Reform and Consumer Protection Act.

Morgan Stanley produces an equity research product called a "Tactical Idea." Views contained in a "Tactical Idea" on a particular stock may be contrary to the recommendations or views expressed in research on the same stock. This may be the result of differing time horizons, methodologies, market events, or other factors. For all research available on a particular stock, please contact your sales representative or go to Matrix at <http://www.morganstanley.com/matrix>.

Morgan Stanley Research is provided to our clients through our proprietary research portal on Matrix and also distributed electronically by Morgan Stanley to clients. Certain, but not all, Morgan Stanley Research products are also made available to clients through third-party vendors or redistributed to clients through alternate electronic means as a convenience. For access to all available Morgan Stanley Research, please contact your sales representative or go to Matrix at <http://www.morganstanley.com/matrix>.

Any access and/or use of Morgan Stanley Research is subject to Morgan Stanley's Terms of Use (<http://www.morganstanley.com/terms.html>). By accessing and/or using Morgan Stanley Research, you are indicating that you have read and agree to be bound by our Terms of Use (<http://www.morganstanley.com/terms.html>). In addition you consent to Morgan Stanley processing your personal data and using cookies in accordance with our Privacy Policy and our Global Cookies Policy (http://www.morganstanley.com/privacy_pledge.html), including for the purposes of setting your preferences and to collect readership data so that we can deliver better and more personalized service and products to you. To find out more information about how Morgan Stanley processes personal data, how we use cookies and how to reject cookies see our Privacy Policy and our Global Cookies Policy (http://www.morganstanley.com/privacy_pledge.html). Please use the provided link to review the Terms and Conditions and Most Important Terms and Conditions for Morgan Stanley India Company Private Limited (https://www.morganstanley.com/assets/pdfs/about-us-global-offices/india/Terms_and_conditions.pdf) and the following link to review the audit report (https://ny.matrix.ms.com/eqr/research/webapp/researchdocs/MSICPL_Morgan_Stanley_Research_Audit_Report.pdf).

If you do not agree to our Terms of Use and/or if you do not wish to provide your consent to Morgan Stanley processing your personal data or using cookies please do not access our research.

Morgan Stanley Research does not provide individually tailored investment advice. Morgan Stanley Research has been prepared without regard to the circumstances and objectives of those who receive it. Morgan Stanley recommends that investors independently evaluate particular investments and strategies, and encourages investors to seek the advice of a financial adviser. The appropriateness of an investment or strategy will depend on an investor's circumstances and objectives. The securities, instruments, or strategies discussed in Morgan Stanley Research may not be suitable for all investors, and certain investors may not be eligible to purchase or participate in some or all of them. Morgan Stanley Research is not an offer to buy or sell or the solicitation of an offer to buy or sell any security/instrument or to participate in any particular trading strategy. The value of and income from your investments may vary because of changes in interest rates, foreign exchange rates, default rates, prepayment rates, securities/instruments prices, market indexes, operational or financial conditions of companies or other factors. There may be time limitations on the exercise of options or other rights in securities/instruments transactions. Past performance is not necessarily a guide to future performance. Estimates of future performance are based on assumptions that may not be realized. If provided, and unless otherwise stated, the closing price on the cover page is that of the primary exchange for the subject company's securities/instruments.

The fixed income research analysts, strategists or economists principally responsible for the preparation of Morgan Stanley Research have received compensation based upon various factors, including quality, accuracy and value of research, firm profitability or revenues (which include fixed income trading and capital markets profitability or revenues), client feedback and competitive factors. Fixed Income Research analysts', strategists' or economists' compensation is not linked to investment banking or capital markets transactions performed by Morgan Stanley or the profitability or revenues of particular trading desks.

The "Important Regulatory Disclosures on Subject Companies" section in Morgan Stanley Research lists all companies mentioned where Morgan Stanley owns 1% or more of a class of common equity securities of the companies. For all other companies mentioned in Morgan Stanley Research, Morgan Stanley may have an investment of less than 1% in securities/instruments or derivatives of securities/instruments of companies and may trade them in ways different from those discussed in Morgan Stanley Research. Employees of Morgan Stanley not involved in the preparation of Morgan Stanley Research may have investments in securities/instruments or derivatives of securities/instruments of companies mentioned and may trade them in ways different from those discussed in Morgan Stanley Research. Derivatives may be issued by Morgan Stanley or associated persons.

With the exception of information regarding Morgan Stanley, Morgan Stanley Research is based on public information. Morgan Stanley makes every effort to use reliable, comprehensive information, but we make no representation that it is accurate or complete. We have no obligation to tell you when opinions or information in Morgan Stanley Research change apart from when we intend to discontinue equity research coverage of a subject company. Facts and views presented in Morgan Stanley Research have not been reviewed by, and may not reflect information known to, professionals in other Morgan Stanley business areas, including investment banking personnel.

Morgan Stanley Research personnel may participate in company events such as site visits and are generally prohibited from accepting payment by the company of associated expenses unless pre-approved by authorized members of Research management.

Morgan Stanley may make investment decisions that are inconsistent with the recommendations or views in this report.

To our readers based in Taiwan or trading in Taiwan securities/instruments: Information on securities/instruments that trade in Taiwan is distributed by Morgan Stanley Taiwan Limited ("MSTL"). Such information is for your reference only. The reader should independently evaluate the investment risks and is solely responsible for their investment decisions. Morgan Stanley Research may not be distributed to the public media or quoted or used by the public media without the express written consent of Morgan Stanley. Any non-customer reader within the scope of Article 7-1 of the Taiwan Stock Exchange Recommendation Regulations accessing and/or receiving Morgan Stanley Research is not permitted to provide Morgan Stanley Research to any third party (including but not limited to related parties, affiliated companies and any other third parties) or engage in any activities regarding Morgan Stanley Research which may create or give the appearance of creating a conflict of interest. Information on securities/instruments that do not trade in Taiwan is for informational purposes only and is not to be construed as a recommendation or a solicitation to trade in such securities/instruments. MSTL may not execute transactions for clients in these securities/instruments.

Morgan Stanley is not incorporated under PRC law and the research in relation to this report is conducted outside the PRC. Morgan Stanley Research does not constitute an offer to sell or the solicitation of an offer to buy any securities in the PRC. PRC investors shall have the relevant qualifications to invest in such securities and shall be responsible for obtaining all relevant approvals, licenses, verifications and/or registrations from the relevant governmental authorities themselves. Neither this report nor any part of it is intended as, or shall constitute, provision of any consultancy or advisory service of securities investment as defined under PRC law. Such information is provided for your reference only.

Morgan Stanley Research is disseminated in Brazil by Morgan Stanley C.T.V.M. S.A. located at Av. Brigadeiro Faria Lima, 3600, 6th floor, São Paulo - SP, Brazil; and is regulated by the Comissão de Valores Mobiliários; in Mexico by Morgan Stanley México, Casa de Bolsa, S.A. de C.V. which is regulated by Comisión Nacional Bancaria y de Valores. Paseo de los Tamarindos 90, Torre 1, Col. Bosques de las Lomas Floor 29, 05120 Mexico City; in Japan by Morgan Stanley MUFG Securities Co., Ltd. and, for Commodities related research reports only, Morgan Stanley Capital Group Japan Co., Ltd; in Hong Kong by Morgan Stanley Asia Limited (which accepts responsibility for its contents) and by Morgan Stanley Bank Asia Limited; in Singapore by Morgan Stanley Asia (Singapore) Pte. (Registration number 199206298Z) and/or Morgan Stanley Asia (Singapore) Securities Pte Ltd (Registration number 200008434H), regulated by the Monetary Authority of Singapore (which accepts legal responsibility for its contents and should be contacted with respect to any matters arising from, or in connection with, Morgan Stanley Research) and by Morgan Stanley Bank Asia Limited, Singapore Branch (Registration number T14FC0118); in Australia to "wholesale clients" within the meaning of the Australian Corporations Act by Morgan Stanley Australia Limited A.B.N. 67 003 734 576, holder of Australian financial services license No. 233742, which accepts responsibility for its contents; in Australia to "wholesale clients" and "retail clients" within the meaning of the Australian Corporations Act by Morgan Stanley Wealth Management Australia Pty Ltd (A.B.N. 19 009 145 555, holder of Australian financial services license No. 240813, which accepts responsibility for its contents; in Korea by Morgan Stanley & Co International plc, Seoul Branch; in India by Morgan Stanley India Company Private Limited having Corporate Identification No (CIN) U22990MH1998PTC115305, regulated by the Securities and Exchange Board of India ("SEBI") and holder of licenses as a Research Analyst (SEBI Registration No. INH000001105); Stock Broker (SEBI Stock Broker Registration No. INZ000244438), Merchant Banker (SEBI Registration No. INM000011203), and depository participant with National Securities Depository Limited (SEBI Registration No. IN-DP-NSDL-567-2021) having registered office at Altimus, Level 39 & 40, Pandurang Budhkar Marg, Worli, Mumbai 400018, India; Telephone no. +91-22-61181000; Compliance Officer Details: Mr. Tejarshi Hardas, Tel. No.: +91-22-61181000 or Email: tejarshi.hardas@morganstanley.com; Grievance officer details: Mr. Tejarshi Hardas, Tel. No.: +91-22-61181000 or Email: msic-compliance@morganstanley.com. Morgan Stanley India Company Private Limited (MSICPL) may use AI tools in providing research services. All recommendations contained herein are made by the duly qualified research analysts; in Canada by Morgan Stanley Canada Limited; in Germany and the European Economic Area where required by Morgan Stanley Europe S.E., authorised and regulated by Bundesanstalt fuer Finanzdienstleistungsaufsicht (BaFin) under the reference number 149169; in the US by Morgan Stanley & Co. LLC, which accepts responsibility for its contents. Morgan Stanley & Co. International plc, authorized by the Prudential Regulation Authority and regulated by the Financial Conduct Authority and the Prudential Regulation Authority, disseminates in the UK research that it has prepared, and research which has been prepared by any of its affiliates, only to persons who (i) are investment professionals falling within Article 19(5) of the Financial Services and Markets Act 2000 (Financial Promotion) Order 2005 (as amended, the "Order"); (ii) are persons who are high net worth entities falling within Article 49(2)(a) to (d) of the Order; or (iii) are persons to whom an invitation or inducement to engage in investment activity (within the meaning of section 21 of the Financial Services and Markets Act 2000, as amended) may otherwise lawfully be communicated or caused to be communicated. RMB Morgan Stanley Proprietary Limited is a member of the JSE Limited and A2X (Pty) Ltd. RMB Morgan Stanley Proprietary Limited is a joint venture owned equally by Morgan Stanley International Holdings Inc. and RMB Investment Advisory (Proprietary) Limited, which is wholly owned by FirstRand Limited. The information in Morgan Stanley Research is being disseminated by Morgan Stanley Saudi Arabia, regulated by the Capital Market Authority in the Kingdom of Saudi Arabia, and is directed at Sophisticated investors only.

The information in Morgan Stanley Research is being communicated by Morgan Stanley & Co. International plc (DIFC Branch), regulated by the Dubai Financial Services Authority (the DFSA) or by Morgan Stanley & Co. International plc (ADGM Branch), regulated by the Financial Services Regulatory Authority Abu Dhabi (the FSRA), and is directed at Professional Clients only, as defined by the DFSA or the FSRA, respectively. The financial products or financial services to which this research relates will only be made available to a customer who we are satisfied meets the regulatory criteria of a Professional Client. A distribution of the different MS Research ratings or recommendations, in percentage terms for Investments in each sector covered, is available upon request from your sales representative.

The information in Morgan Stanley Research is being communicated by Morgan Stanley & Co. International plc (QFC Branch), regulated by the Qatar Financial Centre Regulatory Authority (the QFCRA), and is directed at business customers and market counterparties only and is not intended for Retail Customers as defined by the QFCRA.

As required by the Capital Markets Board of Turkey, investment information, comments and recommendations stated here, are not within the scope of investment advisory activity. Investment advisory service is provided exclusively to persons based on their risk and income preferences by the authorized firms. Comments and recommendations stated here are general in nature. These opinions may not fit to your financial status, risk and return preferences. For this reason, to make an investment decision by relying solely to this information stated here may not bring about outcomes that fit your expectations.

The trademarks and service marks contained in Morgan Stanley Research are the property of their respective owners. Third-party data providers make no warranties or representations relating to the accuracy, completeness, or timeliness of the data they provide and shall not have liability for any damages relating to such data. The Global Industry Classification Standard (GICS) was developed by and is the exclusive property of MSCI and S&P.

Morgan Stanley Research, or any portion thereof may not be reprinted, sold or redistributed without the written consent of Morgan Stanley.

Indicators and trackers referenced in Morgan Stanley Research may not be used as, or treated as, a benchmark under Regulation EU 2016/1011, or any other similar framework.

The issuers and/or fixed income products recommended or discussed in certain fixed income research reports may not be continuously followed. Accordingly, investors should regard those fixed income research reports as providing stand-alone analysis and should not expect continuing analysis or additional reports relating to such issuers and/or individual fixed income products.

Morgan Stanley may hold, from time to time, material financial and commercial interests regarding the company subject to the Research report.

Registration granted by SEBI and certification from the National Institute of Securities Markets (NISM) in no way guarantee performance of the intermediary or provide any assurance of returns to investors. Investment in securities market are subject to market risks. Read all the related documents carefully before investing.

The following authors are Fixed Income Research Analysts/Strategists and are not opining on or expressing recommendations on equity securities: Ariana Salvatore.

INDUSTRY COVERAGE: Communications Infrastructure

COMPANY (TICKER)	RATING (AS OF)	PRICE* (08/19/2026)
Cameron McVeigh, CFA		
American Tower Corp. (AMT.N)	O (03/31/2025)	\$174.49
Blackstone Digital Infrastructure Trust (BXDC.N)	E (06/10/2026)	\$20.01

Crown Castle Corp. (CCI.N)		\$74.65
Csquare, Inc (CSQR.N)	O (08/10/2026)	\$20.45
Digital Realty Trust Inc. (DLR.N)	E (10/16/2025)	\$192.35
Equinix Inc. (EQIX.O)	O (10/16/2025)	\$1,077.08
SBA Communications (SBAC.O)	E (03/31/2025)	\$182.43

Stock Ratings are subject to change. Please see latest research for each company.
* Historical prices are not split adjusted.